Kapasa Makasa University

Department of Agriculture and Aquatic Sciences

Agribusiness Management (SA: 500)

Lecture 6: Planning in Agribusiness Firms

by

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Introduction: Planning in Agribusiness

- Agribusiness managers are involved **in planning, organizing, directing and controlling** various aspects of agribusiness enterprises.
- Whether in finance, marketing, production and supply, and human aspects, agribusiness managers are involved in carrying out these tasks.
- In this lecture, we will focus on planning within agribusiness firms.

Objectives

By the end of this lecture, students should be able to:

- Define planning in the context of agribusiness management.
- Explain the objectives of planning (profit, growth, customer satisfaction, corporate responsibility).
- Differentiate between strategic, tactical, and contingency planning.
- Describe the six-step planning process.
- Explain how budgets and CVP analysis support planning decisions

The Purpose of Planning in Agribusiness

The purpose of planning include:

- Profit maximization
- Customer satisfaction
- Business growth
- Competitor ejection
- Corporate responsibility

Importance of Planning in Agribusiness

Planning in agribusiness prevents:

- Avoids aimlessness and off-target operations
- Time and resource wastage
- Poor coordination
- Loss due to uncertainty in a risky agribusiness environment

Meaning of Planning

What is Planning?

Planning is defined as:

- Forward thinking about courses of action based on a full understanding of all factors involved and directed at specific goals and performance objectives.

This definition has three critical components, each of which is important for effective agribusiness management:

- **(i) Forward Thinking,**
- **(ii) Courses of Action and**
- **(iii) Directed at Specific Goals and Performance Objectives**

Meaning of Planning

(i) Forward Thinking

- Forward thinking means looking ahead. It is an action-oriented mental process focused on the future.

If you were working in a fertilizer company in Zambia today, what future risks must you plan for?

For agribusiness managers, forward thinking requires awareness of:

- Global and local agricultural trends
- Climate variability
- Input and output market changes
- Consumer preferences
- Policy and regulatory shifts

Meaning of Planning

(ii) Courses of Action

Planning involves developing alternative methods of achieving goals. This requires:

- Identifying possible actions
- Weighing costs, benefits, and consequences
- Understanding internal and external factors affecting each option

For example, the fertilizer company can consider:

- Converting part of its plant to organic fertilizer production
- Partnering with livestock farmers for organic raw materials
- Importing organic fertilizer for blending and repackaging

Meaning of Planning

(iii) Directed at Specific Goals and Performance Objectives

This is the most important and most neglected aspect of planning.

Planning must be:

- Goal-oriented
- Target-driven
- Measurable

Without clear goals, planning becomes aimless and inefficient.

For example:

- “To introduce a certified organic fertilizer product and achieve 15% market share within three years.”

Factors influencing Planning Decisions

Planning in agribusiness is influenced by:

- **Policies of business:** dos and don’ts, operating bounds
- **Business ethics:** transparency, environmental responsibility, employee conduct
- **Business practices:** company traditions and established ways of doing things
- **Procedures:** step-by-step guides for production, conflict resolution, or problem management

Factors influencing Planning Decisions

Planning in agribusiness is influenced by:

- **Goals:** long-term targets
- Vision and mission statements
- **Externalities:** (PESTEL)

For example:

Organic fertilizer planning must consider:

- Environmental regulations
- Ethical sourcing of organic materials
- Odour and waste externalities affecting nearby communities

Types of Planning in Agribusiness

Because the future is uncertain and time-bound, planning takes different forms.

(a) Strategic Planning

(b) Tactical Planning

(c) Contingency Planning

Types of Planning in Agribusiness

(a) Strategic Planning

- Strategic planning focuses on long-term courses of action.

Time horizon:

- 2–3 years for small agribusinesses
- 10–20+ years for large corporations
- Concerned with *what business to be in* and *where to compete*

Examples of Strategic Questions:

- What products will we produce?
- What markets will we serve?
- What technologies will we develop?

Types of Planning in Agribusiness

(b) Tactical Planning

- Tactical planning involves short-term plans that implement strategic plans.
- Time frame: days, months, or one year
- Focus: *how* strategic goals will be achieved

For example:

- Identify pilot districts for organic fertilizer distribution
- Train sales staff on organic fertilizer benefits
- Secure organic certification within 12 months

Types of Planning in Agribusiness

(c) Contingency Planning

Contingency planning involves preparing alternative plans for unexpected situations.

It applies to:

- Negative events (e.g., supply shortages)
- Positive events (e.g., demand exceeding forecasts)

For examples:

- If organic raw materials are scarce, source from alternative regions
- If demand exceeds forecasts, outsource part of production temporarily

The Planning Process

Planning follows a six-step process, applied continuously.

Step 1: Gather Facts

Step 2: Analyse the Facts

Step 3: Forecast Change

Step 4: Set Goals and Performance Objectives

Step 5: Develop Alternative Courses of Action

Step 6: Evaluate Results

The Planning Process

Step 1: Gather Facts

Fact gathering identifies:

- The need for a plan
- Information required to make the plan effective

Challenges:

- Over-reliance on gut feeling
- Excessive data collection leading to inaction

For example:

- Market demand for organic fertilizer, raw material availability, certification requirements.

The Planning Process

Step 2: Analyse the Facts

This answers:

- Where are we?
- How did we get here?

It identifies:

- Problems
- Opportunities
- Resource constraints

The Planning Process

Step 3: Forecast Change

- Forecasting extends analysis into the future.

Forecasting is:

- Not guessing
- A disciplined, information-based process

For example:

- Forecast future demand for organic fertilizer under climate-smart agriculture policies.

The Planning Process

Step 4: Set Goals and Performance Objectives

Goals are specific quantitative or qualitative aims that:

- Guide performance objectives
- Allow appraisal of results
- Contribute to organizational performance

Performance objectives:

- Are set for units or individuals
- Are measurable
- Cover shorter time periods

For example:

- Goal: Enter organic fertilizer market
- Performance objective: Sell 5,000 tonnes in Year 1

The Planning Process

Step 5: Develop Alternative Courses of Action

Managers generate, evaluate, and select alternatives based on:

- Resources
- Budget constraints
- Practical conditions
- Creativity and realism are essential.

The Planning Process

Step 6: Evaluate Results

Evaluation:

- Monitors progress
- Identifies deviations
- Triggers plan adjustments

Planning is a continuous loop, not a one-time activity.

Levels and Nature of Planning

Levels and Nature of Planning

Level	Responsibility	Nature of Planning
Strategic	Top management	Long-term, flexible, written, broad
Tactical	Middle management	Medium-term, written, less detailed
Operational	Line employees	Immediate, specific, often unwritten

Planning Tools in Agribusiness

(i) Budgets

(ii) Cost Volume Analysis

The Concept of Cost

“If you do not understand your costs, you cannot plan; price, or profit.

What Are Costs?

- Costs are money spent by an agribusiness to produce goods or provide services.

Some examples of costs in agribusiness:

- Buying seed, fertilizer, feed
- Paying workers
- Fuel and transport
- Equipment and machinery expenses

Planning Tools in Agribusiness

The Concept of Cost

Understanding costs helps managers:

- Prepare budgets
- Set prices
- Calculate profits
- Make production decisions

Planning Tools in Agribusiness

The Concept of Cost

Main Types of Costs are:

A. Fixed Costs: Fixed costs do not change with the level of production in the short run.

B. Variable Costs: Variable costs change directly with production volume.

Planning Tools in Agribusiness

The Concept of Cost

A. Fixed Costs

- Fixed costs do not change with the level of production in the short run.

Example	**Explanation**
Rent	Paid whether production is high or low
Salaries (permanent staff)	Same every month
Insurance	Fixed annual payment
Depreciation	Cost of using machinery over time

Planning Tools in Agribusiness

The Concept of Cost

B. Variable Costs

- Variable costs change directly with production volume.

Example	Explanation
Seed	More production, more seed
Fertilizer	Increases with hectares planted
Feed	More animals, more feed
Casual labour	Paid per activity or output

Planning Tools in Agribusiness

The Concept of Cost

Calculating total cost (T.C)

- Total Cost (TC)= Fixed Costs (FC) + Variable Costs (VC)

Costs are used in:

- Budgets
- Profit calculations

Planning Tools in Agribusiness

The Concept of Cost

Average Cost

- Average Cost (AV) = Total Cost (TC)÷ Units Produced

Average Cost helps to:

- Set selling prices
- Compare efficiency
- Marginal Cost

Marginal Cost is the extra cost of producing one more unit.

Planning Tools in Agribusiness

The Concept of Cost

Marginal Cost

- Marginal Cost is the extra cost of producing one more unit.

Example:

- Cost of producing one more bag of seed
- Cost of feeding one more chicken

Average Cost is Used in:

- Expansion decisions
- CVP analysis

Planning Tools in Agribusiness

(i) Budgets

- A budget is a financial statement that outlines the expenditure and resources required to achieve specific agribusiness targets.
- Budgets are crucial for planning because they help managers anticipate costs, allocate resources efficiently, and measure performance.

Costs Used in Budgeting

Cost Type	Used For
Fixed costs	Planning long-term expenses
Variable costs	Estimating production costs
Total costs	Profit calculation
Average costs	Pricing decisions

Planning Tools in Agribusiness

(i) Budgets

Types of Budgets in Agribusiness:

- **Production Budget:** Estimates costs of producing a certain quantity of crops or livestock.
- **Activity Budget:** Tracks expenditures related to specific farm activities (e.g., planting, fertilization).
- **Investment Budget:** Plans for major capital expenditures (e.g., machinery, irrigation).
- **Enterprise Budget:** Calculates profitability for individual enterprises (e.g., maize, poultry).
- **Corporate Budget**: Overall financial plan for the agribusiness firm.
- **Partial Budget**: Estimates changes in revenue and costs due to minor adjustments in operations.
- **Sector Budget:** Budgets for specific sectors within agribusiness (e.g., horticulture, livestock).

Planning Tools in Agribusiness

(i) Budgets

Production Budget Example

Refer to Excel and Word

Planning Tools in Agribusiness

(ii) Volume–Cost–Profit (VCP) Analysis / Break-Even Analysis

- Volume–Cost–Profit (VCP) analysis is a planning tool that examines the relationship between sales volume, costs, and profits.
- It allows agribusiness managers to make informed decisions about production levels, pricing, and profitability.

Planning Tools in Agribusiness

(ii) Volume–Cost–Profit (VCP) Analysis / Break-Even Analysis

Decision-Making under Uncertainty

- VCP analysis allows managers to simulate different scenarios:
- What if sales increase or decrease?
- What if variable costs rise due to input price changes?
- What if fixed costs change with expansion or machinery investment?

Planning Tools in Agribusiness

(ii) Volume–Cost–Profit (VCP) Analysis / Break-Even Analysis

Solved Examples: Refer to Word

Reflection

Can an agribusiness survive without planning? Why or why not?

The End